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RUPAREL ATTRIBUTES THE turmoil in the start-up industry to the failure of some promoters on compliance issues. Byju's, BharatPe, and Paytm became household names and success stories, but they ignored governance and compliance issues and have been hauled up for that.

The Reserve Bank of India cracked down on Paytm's wallet and bank business after it ignored KYC rules, while BharatPe's leaders brawled in public. Byju's forgot the basics of handling cash or debt, among other things. Founder and CEO Byju Raveendran watched Byju's valuation come down to zero from a whopping \$22 billion.

Ruparel points out that India's compliance ecosystem is ever-changing and dynamic as technology evolves continuously. "In such a scenario, young start-ups with limited resources and more focus on scaling the business

funding, IAN laid out the entire concept of financial discipline and how to maintain it," Agarwal says, and intends to stay connected with it.

Mentoring early-stage start-ups is fine. But angel investors must choose their portfolio wisely. This is where investing through an angel network works, as peer-to-peer sharing of experiences can help.

As start-ups evolve into mainstream businesses, investors push their limits and step into uncharted territories for better returns. How should investors choose their portfolios in such a scenario? "An investor may invest in multiple companies but certainly not have expertise in all those sectors. In such cases, shared experiences help mitigate risk," Ruparel says.

Raman Roy, Co-founder of IAN, says the Indian ecosystem has come a long way over the last two decades, from questions like, what is a start-up and what is angel investing? Today, start-ups are a part of the mainstream in government policymaking and job creation.

"I am confident that IAN will continue to play a role

TODAY, IAN CLAIMS TO BE SUPPORTED BY MORE THAN 500 INVESTORS ACROSS 9 COUNTRIES. AMONG IAN'S SUCCESSES ARE ZYPP, WOW! MOMO, AND SPINNY

| 101

could miss the compliance policies," she says.

But, she cautions, "It is important to find out whether such start-ups are missing these by intent or by mistake. It is important to find that out and help the founders."

Ruparel says angel investors must impress upon start-ups that while their idea could be new, the rules for building a business are not. "There are some tried and tested methods for sustainable business growth. Founders have to understand that, ultimately, they are not catering to the investors but the customers. So they have to look into the future and determine where they want their businesses to put up some years later," she says.

The founders must ensure that expenses are well structured based on cash flow to earn a profit in the long run. They must ask themselves, "Will I have a good-looking balance sheet that I may need to present to raise money?"

Ankit Agarwal, the Co-founder of Phool, a company that recycles flower waste from temples to make incense sticks, scented candles and essential oils, realised this early on. "We are a very young start-up that raised pre-Series A investment from IAN's VC fund. After the

in shaping this ecosystem and taking it to greater heights while meeting India's national objectives," Roy says.

Combining the angel network and the two funds makes IAN a horizontal platform for seed- and early-stage investing and breeding tech-enabled innovative businesses. IAN plans to launch two more funds, one by late 2026 and the other by 2029. It aims to back early-stage Indian technology hubs-based start-ups with a special focus on those leveraging AI, healthtech, and edtech.

Saurabh Srivastava, another IAN Co-founder, says exits or selling off stakes in a portfolio company are equally important. Srivastava, one of the forces behind software industry body Nasscom and The Indus Entrepreneurs (TiE), says, "The IAN Fund 1 is currently focussed on driving exits. Several exits are in the pipeline, which will be announced soon after the transactions are completed. Our experience and focus has been to invest in Indian start-ups solving real problems in India and then scale globally."

That's going to be the key: scaling globally. **BT**

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